

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

HOUSE BILL 4070

By: Alonso-Sandoval

AS INTRODUCED

An Act relating to schools; creating the Oklahoma Extracurricular Enrichment Act; creating the Educator Extracurricular Support Program under the State Department of Education; providing purpose of the program; clarifying program participation is voluntary; mandating fund usage under the program; providing eligibility; requiring creation of a seed grant component for the program; authorizing seed funds for certain purposes; outlining school priority for seed funds; requiring application process for program awards; providing application considerations; requiring participating districts to submit annual report; requiring the Department to submit summary report; mandating rule promulgation; creating revolving fund; stating fund purpose; allowing fund-matching for private donation through available funds; providing contribution match requirements; providing private contribution usage; amending 3A O.S. 2021, Section 713, as last amended by Section 5, Chapter 443, O.S.L. 2024 (3A O.S. Supp. 2025, Section 713), which relates to the disposition of lottery proceeds; requiring certain amount of proceeds to be allocated to the Extracurricular Enrichment Revolving Fund; providing for codification; providing an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

1 SECTION 1. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 6-230 of Title 70, unless there
3 is created a duplication in numbering, reads as follows:

4 This act shall be known and may be cited as the "Oklahoma
5 Extracurricular Enrichment Act".

6 SECTION 2. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 6-231 of Title 70, unless there
8 is created a duplication in numbering, reads as follows:

9 A. There is hereby created within the State Department of
10 Education the Educator Extracurricular Support Program (the
11 Program).

12 B. The Program shall provide funds to participating school
13 districts and charter schools for the purpose of compensating
14 teachers and school staff who assume additional responsibilities in
15 supporting extracurricular programs.

16 C. Participation in the Program shall be voluntary for school
17 districts and charter schools.

18 SECTION 3. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section 6-232 of Title 70, unless there
20 is created a duplication in numbering, reads as follows:

21 A. Funds awarded under the Educator Extracurricular Support
22 Program shall be used to provide stipends to eligible teachers and
23 school staff who serve as:

24

- 1 1. Primary sponsors, co-sponsors, or coordinators of
2 extracurricular clubs or programs; or
- 3 2. Leaders of student organizations requiring planning,
4 supervision, or instruction outside regular school hours.

5 B. Preference shall be given to extracurricular programs that:

- 6 1. Take place primarily after the regular school day;
- 7 2. Serve middle school or high school students;
- 8 3. Are offered at schools where a significant percentage of
9 students qualify for free or reduced-price lunch, as determined by
10 the State Department of Education; and
- 11 4. Address gaps in access to enrichment opportunities.

12 C. Eligible extracurricular programs may include, but are not
13 limited to:

- 14 1. Academic, cultural, leadership, or career-focused clubs;
- 15 2. Science, Technology, Engineering, Art, and Mathematics
16 (STEAM)-focused opportunities; and STEAM-focused clubs and programs,
17 including robotics, engineering, computer science, coding,
18 mathematics enrichment, science clubs, makerspaces, and design
19 challenges; and
- 20 3. Other student programs approved by the local school district
21 and the State Department of Education.

22 SECTION 4. NEW LAW A new section of law to be codified
23 in the Oklahoma Statutes as Section 6-233 of Title 70, unless there
24 is created a duplication in numbering, reads as follows:

1 A. The Educator Extracurricular Support Program shall include a
2 STEAM seed grant component to support the creation or expansion of
3 extracurricular clubs and programs with a focus on science,
4 technology, engineering, arts, and mathematics.

5 B. Seed funding may be used for:

- 6 1. Equipment, supplies, and instructional materials;
- 7 2. Competition registration fees;
- 8 3. Curriculum resources and training directly related to the
9 extracurricular program; and
- 10 4. Other costs approved by the State Department of Education.

11 C. Priority for seed funding shall be given to schools that:

- 12 1. Do not currently offer a STEAM extracurricular program;
- 13 2. Serve a high percentage of low-income students; and
- 14 3. Partner with community organizations, CareerTech centers,
15 higher education institutions, or industries.

16 SECTION 5. NEW LAW A new section of law to be codified
17 in the Oklahoma Statutes as Section 6-234 of Title 70, unless there
18 is created a duplication in numbering, reads as follows:

19 A. The State Department of Education shall award funds for the
20 Educator Extracurricular Support Program to districts through an
21 application process established by promulgated rules.

22 B. In awarding funds, the Department shall consider:

- 23 1. The number of eligible educators participating;
- 24 2. The number of students served;

1 3. The extent to which the Program expands access to after-
2 school or Science, Technology, Engineering, Art, and Mathematics
3 (STEAM)-focused opportunities; and

4 4. Demonstrated need, including student poverty levels.

5 C. Funds awarded under this act shall supplement, and not
6 supplant, local or federal funds used for extracurricular or after-
7 school programs.

8 SECTION 6. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section 6-235 of Title 70, unless there
10 is created a duplication in numbering, reads as follows:

11 A. Each participating district shall submit an annual report to
12 the State Department of Education that includes:

13 1. The number of educators receiving stipends;

14 2. The extracurricular programs supported;

15 3. The number of students participating;

16 4. Use of any Science, Technology, Engineering, Art, and
17 Mathematics (STEAM) seed funds; and

18 5. Outcomes or indicators of student engagement, as determined
19 by the Department.

20 B. The Department shall submit a statewide summary report
21 annually to the Governor, the Speaker of the Oklahoma House of
22 Representatives, and the President Pro Tempore of the Oklahoma State
23 Senate.

1 SECTION 7. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 6-236 of Title 70, unless there
3 is created a duplication in numbering, reads as follows:

4 The State Board of Education shall promulgate rules necessary to
5 implement and administer the provisions of the Oklahoma
6 Extracurricular Enrichment Act.

7 SECTION 8. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 6-237 of Title 70, unless there
9 is created a duplication in numbering, reads as follows:

10 A. There is hereby created in the State Treasury a revolving
11 fund for the State Department of Education to be designated the
12 "Extracurricular Enrichment Revolving Fund". The fund shall be a
13 continuing fund, not subject to fiscal year limitations, and shall
14 consist of all monies received by the State Department of Education
15 from the lottery funds as provided in Section 713 of Title 3A of the
16 Oklahoma Statutes and monies appropriated or apportioned by the
17 Legislature.

18 B. All monies accruing to the credit of the Extracurricular
19 Enrichment Revolving Fund are hereby appropriated and may be
20 budgeted and expended by the Department for the purpose of providing
21 educator stipends, and Science, Technology, Engineering, Art, and
22 Mathematics (STEAM) seed funding grants authorized under the
23 Oklahoma Extracurricular Enrichment Act. Expenditures from said
24 fund shall be made upon warrants issued by the State Treasurer

1 against claims filed as prescribed by law with the Director of the
2 Office of Management and Enterprise Services for approval and
3 payment.

4 SECTION 9. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 6-238 of Title 70, unless there
6 is created a duplication in numbering, reads as follows:

7 A. The State Department of Education may establish a matching
8 funds component within the Oklahoma Extracurricular Enrichment
9 Program to encourage private-sector and community investment in
10 extracurricular and after-school programming.

11 B. Subject to available funds, the Department may provide state
12 matching funds for monetary contributions made by:

- 13 1. Private businesses or industry partners;
- 14 2. Nonprofit organizations;
- 15 3. Foundations or philanthropic entities;
- 16 4. Workforce development or economic development organizations.

17 C. Matching funds may be awarded on a dollar-for-dollar basis
18 or another ratio established by rule, with priority given to
19 contributions that support:

- 20 1. After-school extracurricular programs;
- 21 2. STEAM-focused clubs and activities;
- 22 3. Schools serving a high percentage of students from low-
23 income households; and
- 24

1 4. Programs that include mentorship, career exposure, or
2 workforce alignment.

3 D. Funds received through private or community contributions
4 may be used for:

- 5 1. Educator stipends;
6 2. STEAM seed funding grants; and
7 3. Equipment, supplies, or instructional resources directly
8 related to extracurricular programming.

9 E. The State Board of Education shall promulgate rules
10 governing eligibility, verification of contributions, and
11 administration of matching funds under this section.

12 SECTION 10. AMENDATORY 3A O.S. 2021, Section 713, as
13 last amended by Section 5, Chapter 443, O.S.L. 2024 (3A O.S. Supp.
14 2025, Section 713), is amended to read as follows:

15 Section 713. A. All gross proceeds shall be the property of
16 the Oklahoma Lottery Commission. From its gross proceeds, the
17 Commission shall pay the operating expenses of the Commission. At
18 least forty-five percent (45%) of gross proceeds shall be made
19 available as prize money. However, the provisions of this
20 subsection shall be deemed not to create any lien, entitlement,
21 cause of action, or other private right, and any rights of holders
22 of tickets or shares shall be determined by the Commission in
23 setting the terms of its lottery or lotteries.

24

1 B. There is hereby created in the State Treasury a fund to be
2 designated the "Oklahoma Education Lottery Trust Fund".
3 Expenditures from the fund shall be made upon warrants issued by the
4 State Treasurer against claims filed as prescribed by law with the
5 Director of the Office of Management and Enterprise Services for
6 approval and payment.

7 C. Upon their deposit into the State Treasury, any monies
8 representing a deposit of net proceeds shall then become the
9 unencumbered property of this state, and neither the Commission nor
10 the board of trustees shall have the power to agree or undertake
11 otherwise. The monies shall be invested by the State Treasurer in
12 accordance with state investment practices. All earnings
13 attributable to such investments shall likewise be the unencumbered
14 property of the state and shall accrue to the credit of the fund
15 provided for in subsection B of this section.

16 1. The first Sixty-five Million Dollars (\$65,000,000.00) of
17 monies contributed annually to the Oklahoma Education Lottery Trust
18 Fund shall only be appropriated as follows:

19 a. forty-five percent (45%) for the following:

20 (1) kindergarten through twelfth grade public
21 education, including but not limited to
22 compensation and benefits for public school
23 teachers and support employees, and
24

1 (2) early childhood development programs, which shall
2 include but not be limited to costs associated
3 with prekindergarten and full-day kindergarten
4 programs,

5 b. forty-five percent (45%) for the following:

6 (1) tuition grants, loans and scholarships to
7 citizens of this state to enable such citizens to
8 attend colleges and universities located within
9 this state, regardless of whether such colleges
10 and universities are owned or operated by the
11 Oklahoma State Regents for Higher Education, or
12 to attend institutions operated under the
13 authority of the Oklahoma Department of Career
14 and Technology Education; provided, such tuition
15 grants, loans and scholarships shall not be made
16 to a citizen of this state to attend a college or
17 university which is not accredited by the
18 Oklahoma State Regents for Higher Education,

19 (2) construction of educational facilities for
20 elementary school districts, independent school
21 districts, The Oklahoma State System of Higher
22 Education, and career and technology education,
23 (3) capital outlay projects for elementary school
24 districts, independent school districts, The

Oklahoma State System of Higher Education, and
career and technology education,

(4) technology for public elementary school district,
independent school district, state higher
education, and career and technology education
facilities, which shall include but not be
limited to costs of providing to teachers at
accredited public institutions who teach levels
kindergarten through twelfth grade, personnel at
technology centers under the authority of the
Oklahoma State Department of Career and
Technology Education, and professors and
instructors within The Oklahoma State System of
Higher Education, the necessary training in the
use and application of computers and advanced
electronic instructional technology to implement
interactive learning environments in the
classroom and to access the statewide distance
learning network and costs associated with
repairing and maintaining advanced electronic
instructional technology,

(5) endowed chairs for professors at institutions of
higher education operated by The Oklahoma State
System of Higher Education, and

(6) programs and personnel of the Oklahoma School for the Deaf and the Oklahoma School for the Blind,

c. five percent (5%) to the School Consolidation Assistance Fund. When the total amount in the School Consolidation Assistance Fund from all sources equals Five Million Dollars (\$5,000,000.00), all monies appropriated pursuant to this subparagraph which would otherwise be deposited in the School Consolidation Assistance Fund in excess of Five Million Dollars (\$5,000,000.00) shall be allocated by the State Department of Education to public schools based on the audited end-of-year average daily membership in grades 8 through 12 during the preceding school year for the purpose of purchasing technology equipment. If at any time the total amount in the School Consolidation Assistance Fund drops below Five Million Dollars (\$5,000,000.00), the monies appropriated pursuant to this subparagraph shall be deposited in the School Consolidation Assistance Fund until the Fund again reaches Five Million Dollars (\$5,000,000.00), and

d. five percent (5%) to the Teachers' Retirement System Dedicated Revenue Revolving Fund.

In no instance shall the annual maximum percentage for administrative costs, not including marketing and advertising costs,

1 funds set aside for prizes, commissions paid to retailers, contract
2 fees paid to gaming system vendors and instant ticket providers or
3 emergency-related capital expenses, exceed three percent (3%) of
4 sales.

5 2. The remaining portion of lottery annual net proceeds
6 deposited to the Oklahoma Education Lottery Trust Fund that exceeds
7 Sixty-five Million Dollars (\$65,000,000.00) shall be transferred by
8 the Office of Management and Enterprise Services equally to the
9 credit of the Teacher Empowerment Revolving Fund created in Section
10 6-190.2 of Title 70 of the Oklahoma Statutes and the Extracurricular
11 Enrichment Revolving Fund created in this act.

12 D. The Legislature shall appropriate funds from the Oklahoma
13 Education Lottery Trust Fund only for the purposes specified in
14 subsection C of this section. Even when funds from the trust fund
15 are used for these purposes, the Legislature shall not use funds
16 from the trust fund to supplant or replace other state funds
17 supporting common education, higher education, or career and
18 technology education.

19 E. In order to ensure that the funds from the trust fund are
20 used to enhance and not supplant funding for education, the State
21 Board of Equalization shall examine and investigate appropriations
22 from the trust fund each year. At the meeting of the State Board of
23 Equalization held within five (5) days after the monthly
24 apportionment in February of each year, the State Board of

1 Equalization shall issue a finding and report which shall state
2 whether appropriations from the trust fund were used to enhance or
3 supplant education funding. If the State Board of Equalization
4 finds that education funding was supplanted by funds from the trust
5 fund, the Board shall specify the amount by which education funding
6 was supplanted. In this event, the Legislature shall not make any
7 appropriations for the ensuing fiscal year until an appropriation in
8 that amount is made to replenish the trust fund.

9 F. Except as otherwise provided by this subsection, no
10 deficiency in the Oklahoma Education Lottery Trust Fund shall be
11 replenished by reducing any nonlottery funds including, specifically
12 but without limitation, the General Revenue Fund, the Constitutional
13 Reserve Fund, or the Education Reform Revolving Fund of the State
14 Department of Education. No program or project started specifically
15 from lottery proceeds shall be continued from the General Revenue
16 Fund, the Constitutional Reserve Fund, or the Education Reform
17 Revolving Fund of the State Department of Education. Such programs
18 must be adjusted or discontinued according to available lottery
19 proceeds unless the Legislature by general law establishes
20 eligibility requirements and appropriates specific funds therefor.
21 No surplus in the Oklahoma Education Lottery Trust Fund shall be
22 reduced or transferred to correct any nonlottery deficiencies in
23 sums available for general appropriations. The provisions of this
24 subsection shall not apply to bonds or other obligations issued

1 pursuant to or to the repayment of bonds or other obligations issued
2 pursuant to the Oklahoma Higher Education Promise of Excellence Act
3 of 2005.

4 G. There is hereby created in the State Treasury a revolving
5 fund to be designated the "Oklahoma Education Lottery Revolving
6 Fund". The fund shall be a continuing fund, not subject to fiscal
7 year limitations, and shall consist of all monies received by the
8 Commission. All monies accruing to the credit of the Oklahoma
9 Education Lottery Revolving Fund are hereby appropriated and may be
10 budgeted and expended for the payment of net proceeds, prizes,
11 commissions to retailers, administrative expenses and all other
12 expenses arising out of the operation of the education lottery,
13 subject to the limitations provided in the Oklahoma Education
14 Lottery Act. Expenditures from the fund shall be made upon warrants
15 issued by the State Treasurer against claims filed as prescribed by
16 law with the Director of the Office of Management and Enterprise
17 Services for approval and payment.

18 The monies in the fund shall be invested by the State Treasurer
19 in accordance with state investment practices. All earnings
20 attributable to such investments shall likewise accrue to the credit
21 of the fund.

22 H. When appropriations from the Oklahoma Education Lottery
23 Trust Fund are made to common education pursuant to the provisions
24 of subparagraph a of paragraph 1 of subsection C of this section,

1 the appropriations shall be made available on a monthly basis. The
2 following process shall be used to ensure that the appropriations
3 are made available to common education in a timely manner:

4 1. Beginning in July of the fiscal year in which appropriations
5 are made to common education from the Oklahoma Education Lottery
6 Trust Fund, the Commission, on or before the ninth day of each
7 month, shall transfer to the State Treasurer, for credit to the
8 Oklahoma Education Lottery Trust Fund, one-twelfth (1/12) of the
9 annual apportionment due to common education as required by
10 subparagraph a of paragraph 1 of subsection C of this section;

11 2. The Director of the Office of Management and Enterprise
12 Services shall allocate the transfers provided for in paragraph 1 of
13 this subsection to the State Department of Education on a monthly
14 basis, not to exceed one-twelfth (1/12) of the annual apportionment
15 for the fiscal year; and

16 3. The total amount of transfers to the Oklahoma Education
17 Lottery Trust Fund of net lottery proceeds made pursuant to this
18 subsection shall not exceed the total appropriations made to common
19 education from the Oklahoma Education Lottery Trust Fund for the
20 specific fiscal year.

21 I. When appropriations from the Oklahoma Education Lottery
22 Trust Fund are made to The Oklahoma State System of Higher Education
23 pursuant to the provisions of subparagraph b of paragraph 1 of
24 subsection C of this section, the appropriations shall be made

1 available to the System on a monthly basis. The following process
2 shall be used to ensure that the appropriations are made available
3 to The Oklahoma State System of Higher Education in a timely manner:

4 1. Beginning in July of the fiscal year in which appropriations
5 are made to The Oklahoma State System of Higher Education from the
6 Oklahoma Education Lottery Trust Fund, the Commission, on or before
7 the ninth day of each month, shall transfer to the State Treasurer,
8 for credit to the Oklahoma Education Lottery Trust Fund one-twelfth
9 (1/12) of the annual apportionment due to the Oklahoma State Regents
10 for Higher Education as required by subparagraph b of paragraph 1 of
11 subsection C of this section;

12 2. The Director of the Office of Management and Enterprise
13 Services shall allocate the transfers provided for in paragraph 1 of
14 this subsection to the Oklahoma State Regents for Higher Education
15 on a monthly basis, not to exceed one-twelfth (1/12) of the annual
16 apportionment for the fiscal year; and

17 3. The total amount of transfers to the Oklahoma Education
18 Lottery Trust Fund of net lottery proceeds made pursuant to this
19 subsection shall not exceed the total appropriations made to The
20 Oklahoma State System for Higher Education from the Oklahoma
21 Education Lottery Trust Fund for the specific fiscal year.

22 J. When appropriations from the Oklahoma Education Lottery
23 Trust Fund are made to the Oklahoma Department of Career and
24 Technology Education, pursuant to the provisions of subparagraph b

1 of paragraph 1 of subsection C of this section, the appropriations
2 shall be made available on an annual basis. The following process
3 shall be used to ensure that the appropriations to the Oklahoma
4 Education Lottery Trust Fund are available for the Oklahoma
5 Department of Career and Technology Education in a timely manner:

6 1. Beginning in July of the fiscal year in which appropriations
7 are made to the Oklahoma Department of Career and Technology
8 Education from the Oklahoma Education Lottery Trust Fund, the
9 Commission, on or before the ninth day of each quarter, shall
10 transfer to the State Treasurer, for credit to the Oklahoma
11 Education Lottery Trust Fund, one-fourth (1/4) of the annual
12 apportionment due to the Oklahoma Department of Career and
13 Technology Education as required by subparagraph b of paragraph 1 of
14 subsection C of this section;

15 2. The Director of the Office of Management and Enterprise
16 Services shall allocate the transfer provided for in paragraph 1 of
17 this subsection to the Oklahoma Department of Career and Technology
18 Education on a quarterly basis, not to exceed one-fourth (1/4) of
19 the annual apportionment for the fiscal year; and

20 3. The total amount of transfers to the Oklahoma Education
21 Lottery Trust Fund of net lottery proceeds made pursuant to this
22 subsection shall not exceed the total appropriations made to the
23 Oklahoma Department of Career and Technology Education from the
24 Oklahoma Education Lottery Trust Fund for the specific fiscal year.

1 K. When appropriations from the Oklahoma Education Lottery
2 Trust Fund are made to the School Consolidation Assistance Fund and
3 Teachers' Retirement System Dedicated Revenue Revolving Fund,
4 pursuant to the provisions of subparagraphs c and d of paragraph 1
5 of subsection C of this section, the appropriations shall be made
6 available on an annual basis. The following process shall be used
7 to ensure that the appropriations to the Oklahoma Education Lottery
8 Trust Fund are made available to the School Consolidation Assistance
9 Fund and Teachers' Retirement System Dedicated Revenue Revolving
10 Fund in a timely manner:

11 1. Beginning in July of the fiscal year in which appropriations
12 are made to the School Consolidation Assistance Fund and the
13 Teachers' Retirement System Dedicated Revenue Revolving Fund from
14 the Oklahoma Education Lottery Trust Fund, the Commission, on or
15 before the ninth day of each quarter, shall transfer to the State
16 Treasurer, for credit to the Oklahoma Education Lottery Trust Fund,
17 one-fourth (1/4) of the annual apportionment due to the School
18 Consolidation Assistance Fund and the Teachers' Retirement System
19 Dedicated Revenue Revolving Fund as required by subparagraphs c and
20 d of paragraph 1 of subsection C of this section;

21 2. The Director of the Office of Management and Enterprise
22 Services shall allocate the transfers provided for in paragraph 1 of
23 this subsection to the School Consolidation Assistance Fund and the
24 Teachers' Retirement System Dedicated Revenue Revolving Fund on a

1 quarterly basis, not to exceed one-fourth (1/4) of the annual
2 apportionment for the fiscal year; and

3 3. The total amount of transfers to the Oklahoma Education
4 Lottery Trust Fund of net lottery proceeds made pursuant to this
5 subsection shall not exceed the total appropriations made to the
6 School Consolidation Assistance Fund and the Teachers' Retirement
7 System Dedicated Revenue Revolving Fund from the Oklahoma Education
8 Lottery Trust Fund for the specific fiscal year.

9 L. At the conclusion of each fiscal year, the Oklahoma Lottery
10 Commission shall make available all remaining profits to the
11 Oklahoma Education Lottery Trust Fund in the following manner:

12 1. By July 9 of the proceeding fiscal year, the Oklahoma
13 Lottery Commission shall transfer the five percent (5%) difference
14 between the previous year's State Board of Equalization estimate and
15 the appropriated amount. The cash contribution shall be available
16 for appropriation in the following legislative session pending
17 profit exists above and beyond the prior year's annual
18 appropriation; and

19 2. By September 30, the Oklahoma Lottery Commission shall
20 transfer all remaining profit as established by an external
21 financial audit pursuant to Section 733 of this title. This cash
22 contribution shall be available for appropriation in the following
23 legislative session pending profit exists above and beyond the prior
24 year's annual appropriation.

SECTION 11. This act shall become effective July 1, 2026.

SECTION 12. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

60-2-15402 SW 01/10/26